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Last week: DJIA 42762.87 ▲ 492.80 1.17% NASDAQ 19529.95 ▲ 2.2% STOXX 600 553.64 ▲ 0.9% 10-YR. TREASURY ▼ 22/32, yield 4.507% OIL \$64.58 ▲ \$3.79 EURO \$1.1396 YEN 144.85

What's News

Business & Finance

◆ **The U.S. economy**, which weathered false recession alarms in 2023 and 2024, is entering an uncomfortable summer as businesses warn that shifting trade policies are interfering with their ability to plan, leading to hiring and investment freezes. **A1**

◆ **Wall Street's worst fears** that escalating tariffs could sink the global economy have receded, but anxieties about inflation remain. **B1**

◆ **"Ballerina,"** the action thriller distributed by Lionsgate, made its debut at No. 2, earning \$25 million at the weekend film box office. **B2**

◆ **The trade in dolls** made in China and exported to the U.S. remained undercut by Trump's tariffs as manufacturers looked toward the expiration of a temporary reduction in the duties imposed on Beijing. **B3**

◆ **A Chinese-owned** company is halting construction of an electric-vehicle battery plant in South Carolina, in part because of U.S. tariffs and a potential loss of federal subsidies for clean energy. **B3**

◆ **Food- and beverage-**container maker Stanley 1913 is broadening its focus from Utah to Europe and beyond as it develops a raft of products in new categories. **B6**

◆ **The SEC is considering** loosening longstanding rules that restrict private-equity investments to institutions and wealthy people, another step in its plans to broaden access to a fast-growing asset class. **B9**

World-Wide

◆ **Immigration protesters** in Los Angeles clashed with local and California state police after National Guard troops were mobilized by President Trump in response to earlier demonstrations. **A1, A7**

◆ **A monthslong legal** saga entered a new phase after the Trump administration repatriated Kilmar Abrego Garcia to face criminal charges that he took part in an international smuggling ring with gang ties. **A3**

◆ **Trump warned** former right-hand-man Elon Musk to stay out of the midterm elections, threatening "very serious consequences" if he backed Democrats in the campaign. **A5**

◆ **Some of the nation's** wealthiest universities hope to avoid a huge potential tax increase by pitching a plan to Congress to spend more of their own money. **A1**

◆ **Simmering Republican** anger over Harvard's links to China gained traction, focusing on a 2023 training event in Kunming co-hosted by one of the university's professors. **A6**

◆ **Israel is putting** more women soldiers into combat roles, helping to relieve the military's acute personnel shortage after 20 months of war against Hamas in Gaza. **A8**

◆ **Taiwan embarked** on a mission to purge any allies of Beijing from its civil service in an escalating battle against China's influence on the island. **A8**

◆ **Died: Dick Beattie**, 86, star private-equity lawyer. **A3**

JOURNAL REPORT
Investing Monthly:
Beware the 401(k)
hierarchy trap. **R1-6**

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Members of the California Highway Patrol confronted protesters on Highway 101 in downtown Los Angeles on Sunday.

Police, L.A. Protesters Clash After Trump Mobilizes Guard

Highway blocked, cars burned; governor denounces federal military response

LOS ANGELES—Immigration protesters and local and California state police engaged in clashes Sunday after National Guard troops were mobilized by President Trump in response to earlier demonstrations.

By Ben Fritz,
Marc Vartabedian
and Ginger Adams Otis

California Highway Patrol officers pushed protesters off Highway 101 in Los Angeles, using flash-bangs and tactical positioning, after a crowd of hundreds of people spilled onto one of the city's main

thoroughfares. Some people in the crowds threw rocks at police and set cars on fire.

Also in the downtown area, National Guard troops equipped with firearms and plastic shields guarded a federal building from a swelling crowd that got more vocal as the afternoon wore on. Hundreds of city police officers dispersed the crowd with rubber bullets.

The chaotic scenes followed two days of skirmishes over federal immigration operations that Trump cited in his decision to send in the California National Guard over Gov. Gavin Newsom's objections.

Newsom, a Democrat, said he had formally requested that the Trump administration rescind the National Guard deployment and return the troops to his command.

"We didn't have a problem

until Trump got involved," Newsom said in a post on X that attached the letter from David Sapp, the legal affairs secretary in his office, to Defense Secretary Pete Hegseth. "This is a serious breach of state sovereignty—inflaming tensions while pulling resources from where they're actually needed."

Roughly 300 National Guard soldiers arrived in Los Angeles early Sunday after Trump said he would deploy some 2,000 troops to the city. The troops were deployed to protect federal agents and property, officials said.

As the soldiers stationed themselves at federal facilities in L.A., the war of words between the Trump administration and California officials escalated.

Trump, a Republican, painted a dark picture of the

protests over the past three days, saying the city had been "invaded and occupied." He said he would work with the Department of Homeland Security and others in his administration to "take all such action necessary to liberate Los Angeles."

Newsom said that Trump's order to send in the National Guard was intended to "manufacture a crisis. He's hoping for chaos so he can justify more crackdowns, more fear, more control."

Los Angeles Mayor Karen Bass said the immigration raids that sparked the first protests on Friday left communities in fear. "Deploying federalized troops on the heels of these raids is a challenge," she said.

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◆ **Trump faces little restraint on troop use..... A7**

An Open And Shut Victory

ONE FOR THE BOOKS: Spain's Carlos Alcaraz held the French Open trophy at the Roland-Garros Complex in Paris on Sunday after overcoming Italy's Jannik Sinner in the longest-ever French open final. A day earlier, American Coco Gauff won the women's singles final in Paris, her second Grand Slam title. **A14**



THIBAUD MORIZ/AP/GETTY IMAGES

Colleges Propose Spending Increases To Limit Tax Hike

By JULIET CHUNG
AND RICHARD RUBIN

Some of the nation's wealthiest universities are hoping to avoid a huge potential tax hike by pitching an alternative plan to Congress: a pledge to spend more of their own money.

The current version of President Trump's tax bill, which passed the House last month, includes a hefty, 21% annual tax on the wealthiest

schools' investment income, up from the current 1.4% rate. The plan could add hundreds of millions of dollars to many schools' annual tax bills. The White House said recently that the tax increase would create accountability for "woke, elitist universities."

Now, nearly two dozen schools, including many of the

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◆ **Trump turns focus to Harvard's China ties..... A6**

Trump-Musk Split Unleashes Emotion and Unsolicited Advice

Relationship experts aren't surprised to see Americans internalizing the divorce

By ANN-MARIE ALCÁNTARA

The U.S. added millions of marriage counselors to its payrolls last week.

At least that's what it seemed like.

The rapid unraveling of the bromance between Elon Musk and Donald Trump awakened the relationship expert in everyone as fans of the two men took to social media to break down the breakup and offer unsolicited advice on how they can patch things up.

Some expressed heartbreak. "Them coming together was one of the most encouraging things we have seen in a world of negativity and competitiveness," wrote one X user. "If I had to choose between more

debt and Elon and Trump's friendship, I would choose their friendship!"

Kanye West posted, "Brooooo please noooooo...We love you both so much"—complete with a people-hugging emoji.

On Trump's Truth Social, many want the fighting to stop. One user wrote, "You are destroying our hope and our morale. This is so painful." The plea to reconcile echoed far and wide. Television host Andy Cohen went further, offering to host a reunion on his show.

It's no surprise to see Americans internalizing a di-

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◆ **Trump warns Musk about playing politics..... A5**

Kennedy Center Gets MAGA Makeover

'Common sense' programming and gold-tier fundraiser; ticket sales down

When the curtain rises in the John F. Kennedy Center Opera House for a performance of "Les Misérables" this week, President Trump is scheduled to be sur-

By Jessica Toonkel,
Erich Schwartzel and
John Jurgensen

rounded by supporters who have paid up to \$2 million to watch the musical with him.

A coup de théâtre earlier this year put the president and his deputies in charge of programming, fundraising and staff at the famous cultural center. Now, a president who skipped Kennedy Center

performances during his first term will stride into an institution he has bent to his will.

New leaders Trump installed have dropped programs with whiffs of woke-ness, threatened to go after artists who boycott it and asked employees to take part in a group prayer session.

A Trump appointee on the Kennedy Center board has suggested building a marina next to it on the Potomac River, so that visitors can pull up their boats and listen to music. Kennedy Center officials have discussed speaking to Mideast countries such

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INSIDE



WORLD NEWS

More Israeli women fill a gap in troops for combat units after 20 months of war. **A8**



VERTICAL AEROSPACE

BUSINESS & FINANCE

Meme stocks made Jason Mudrick a fortune. Now he's betting on flying taxis. **B1**